

Saltbrush Beverage Co.

Sparkling botanical water canned in Southern California

Fiscal years covered: FY2023, FY2024, FY2025

Industry: Consumer products manufacturer (beverages)

Role fit: Cost analysis, FP&A, Treasury

Fictional company. All figures are illustrative and were built for this portfolio.

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Saltbrush Beverage Co.

Assumptions

(\$ in thousands, except per case amounts)

	FY2023	FY2024	FY2025
Cases sold (thousands)	4,850	5,420	5,960
Net price per case	\$11.40	\$11.85	\$12.10
Standard cost per case	\$6.95	\$7.30	\$7.42
Manufacturing variances, FY2023	410		
Manufacturing variances, FY2024	690		
Selling and distribution, % of revenue	11.5%	11.8%	12.0%
Marketing, % of revenue	6.0%	6.5%	6.5%
General and administrative, % of revenue	7.5%	7.2%	7.0%
Depreciation, % of beginning net PP&E	10.00%		
Capital expenditures	2,600	5,800	2,200
Equipment loan, opening balance	9,000		
Equipment loan, annual repayment	1,500		
Equipment loan interest rate	6.75%		
Revolver capacity	8,000		
Revolver interest rate	7.50%		
Minimum cash	1,500		
Income tax rate	25.00%		
Accounts receivable days	38.0		
Inventory days	55.0		
Prepaid expenses, % of revenue	1.0%		
Accounts payable days	45.0		
Accrued liabilities, % of revenue	4.0%		
Opening balance sheet FY2022: Cash	2,400		
Opening balance sheet FY2022: Accounts receivable	5,300		
Opening balance sheet FY2022: Inventory	4,900		
Opening balance sheet FY2022: Prepaid expenses	500		
Opening balance sheet FY2022: Property, plant and equipment, net	14,800		
Opening balance sheet FY2022: Accounts payable	3,700		

Opening balance sheet FY2022: Accrued liabilities	1,900
Opening balance sheet FY2022: Revolver	-
Opening balance sheet FY2022: Equipment loan	9,000
Opening balance sheet FY2022: Common stock and paid in capital	6,000
Opening balance sheet FY2022: Retained earnings	7,300

Saltbrush Beverage Co.

Income Statement

(\$ in thousands, except per case amounts) For the years ended December 31

	FY2023	FY2024	FY2025
Revenue	55,290	64,227	72,116
Cost of sales at standard	33,708	39,566	44,223
Manufacturing variances	410	690	2,284
Gross profit	21,173	23,971	25,609
Selling and distribution	6,358	7,579	8,654
Marketing	3,317	4,175	4,688
General and administrative	4,147	4,624	5,048
EBITDA	7,350	7,593	7,220
Depreciation	1,480	1,592	2,013
Operating income	5,870	6,001	5,207
Interest expense	608	506	414
Income before taxes	5,263	5,495	4,793
Income tax expense	1,316	1,374	1,198
Net income	3,947	4,121	3,595
Cases sold (thousands)	4,850	5,420	5,960
Net price per case	\$11.40	\$11.85	\$12.10
Standard cost per case	\$6.95	\$7.30	\$7.42
Gross margin	38.3%	37.3%	35.5%

Saltbrush Beverage Co.

Balance Sheet

(\$ in thousands, except per case amounts) As of December 31

	FY2023	FY2024	FY2025
Assets			
Cash and cash equivalents	3,795	1,500	2,529
Accounts receivable	5,756	6,687	7,508
Inventory	5,141	6,066	7,008
Prepaid expenses	553	642	721
Total current assets	15,245	14,895	17,766
Property, plant and equipment, net	15,920	20,128	20,315
Total assets	31,165	35,023	38,081
Liabilities			
Accounts payable	4,206	4,963	5,734
Accrued liabilities	2,212	2,569	2,885
Total current liabilities	6,418	7,532	8,618
Revolver	-	123	-
Equipment loan	7,500	6,000	4,500
Total liabilities	13,918	13,655	13,118
Equity			
Common stock and paid in capital	6,000	6,000	6,000
Retained earnings	11,247	15,368	18,963
Total equity	17,247	21,368	24,963
Total liabilities and equity	31,165	35,023	38,081

Saltbrush Beverage Co.

Cash Flow Statement

(\$ in thousands, except per case amounts) For the years ended December 31

	FY2023	FY2024	FY2025
Net income	3,947	4,121	3,595
Depreciation	1,480	1,592	2,013
(Increase) decrease in accounts receivable	(456)	(930)	(821)
(Increase) decrease in inventory	(241)	(925)	(942)
(Increase) decrease in prepaid expenses	(53)	(89)	(79)
Increase (decrease) in accounts payable	506	757	771
Increase (decrease) in accrued liabilities	312	357	316
Cash from operating activities	5,495	4,883	4,851
Capital expenditures	(2,600)	(5,800)	(2,200)
Cash from investing activities	(2,600)	(5,800)	(2,200)
Equipment loan repayment	(1,500)	(1,500)	(1,500)
Revolver draw (repayment)	-	123	(123)
Cash from financing activities	(1,500)	(1,377)	(1,623)
Net change in cash	1,395	(2,295)	1,029
Beginning cash	2,400	3,795	1,500
Ending cash	3,795	1,500	2,529

	FY2023	FY2024	FY2025
Cash before revolver	3,795	1,377	2,651

Saltbrush Beverage Co.

Ratios

(\$ in thousands, except per case amounts)

	FY2023	FY2024	FY2025
Gross margin	38.3%	37.3%	35.5%
EBITDA margin	13.3%	11.8%	10.0%
Operating margin	10.6%	9.3%	7.2%
Net margin	7.1%	6.4%	5.0%
Revenue growth	n/a	16.2%	12.3%
Current ratio	2.4x	2.0x	2.1x
Debt to EBITDA	1.0x	0.8x	0.6x
Return on equity	25.8%	21.3%	15.5%
Days sales outstanding	38.0	38.0	38.0
Days inventory outstanding	55.0	55.0	55.0
Days payable outstanding	45.0	45.0	45.0
Cash conversion cycle	48.0	48.0	48.0
Free cash flow	2,895	(917)	2,651
FCF margin	5.2%	-1.4%	3.7%

Saltbrush Beverage Co.

FY2025 standard cost variances

(\$ in thousands, except per case amounts)

	Amount	U/F
Cans and ends (units): price variance	1,167	U
Cans and ends (units): usage variance	443	U
Botanicals and flavor (kg): price variance	(76)	F
Botanicals and flavor (kg): usage variance	81	U
Juice concentrate (gallons): price variance	97	U
Juice concentrate (gallons): usage variance	47	U
Trays and film (sets): price variance	(61)	F
Trays and film (sets): usage variance	40	U
Labor: rate variance	189	U
Labor: efficiency variance	158	U
Overhead: spending variance	125	U
Overhead: volume variance	72	U
Total manufacturing variances	2,284	U

Saltbrush Beverage Co.
Gross profit bridge, FY2024 to FY2025

(\$ in thousands, except per case amounts)

	Amount
FY2024 gross profit	23,971
Volume effect	2,457
Price effect	1,490
Standard cost effect	(715)
Variance effect	(1,594)
FY2025 gross profit	25,609
Check: steps sum to the change in gross profit	-

Saltbrush Beverage Co.
13 week cash forecast, Q1 FY2026

(\$ in thousands, except per case amounts)

	Jan 9	Jan 16	Jan 23	Jan 30	Feb 6	Feb 13	Feb 20	Feb 27	Mar 6	Mar 13	Mar 20	Mar 27	Apr 3
Beginning cash	2,529	2,134	2,204	1,974	2,334	1,979	2,039	1,809	1,739	1,500	1,504	1,500	1,500
Receipts	1,280	1,310	1,390	1,350	1,300	1,340	1,410	1,380	1,360	1,420	1,450	1,470	1,500
Suppliers	820	790	860	840	800	830	880	850	840	870	890	900	910
Payroll	610	-	610	-	610	-	610	-	610	-	610	-	610
Freight	150	150	150	150	150	150	150	150	150	150	150	150	150
Rent	95	-	-	-	95	-	-	-	95	-	-	-	-
Trade promotions	-	300	-	-	-	300	-	-	-	300	-	-	-
Estimated tax	-	-	-	-	-	-	-	-	-	-	900	-	-
Capital expenditures	-	-	-	-	-	-	-	450	-	-	-	-	-
Debt service (principal and interest)	-	-	-	-	-	-	-	-	-	-	-	-	451
Total disbursements	1,675	1,240	1,620	990	1,655	1,280	1,640	1,450	1,695	1,320	2,550	1,050	2,121
Net cash flow	(395)	70	(230)	360	(355)	60	(230)	(70)	(335)	100	(1,100)	420	(621)
Revolver draw (repayment)	-	-	-	-	-	-	-	-	96	(96)	1,096	(420)	621
Ending cash	2,134	2,204	1,974	2,334	1,979	2,039	1,809	1,739	1,500	1,504	1,500	1,500	1,500
Revolver balance	-	-	-	-	-	-	-	-	96	-	1,096	676	1,297
Availability	8,000	8,000	8,000	8,000	8,000	8,000	8,000	8,000	7,904	8,000	6,904	7,324	6,703

Checks

Overall status	ALL OK	
Check	Difference	Status
Balance sheet balances, FY2023	-	OK
Balance sheet balances, FY2024	-	OK
Balance sheet balances, FY2025	-	OK
Cash flow ending cash = balance sheet cash, FY2023	-	OK
Cash flow ending cash = balance sheet cash, FY2024	-	OK
Cash flow ending cash = balance sheet cash, FY2025	-	OK
Net income ties, income statement to cash flow, FY2023	-	OK
Net income ties, income statement to cash flow, FY2024	-	OK
Net income ties, income statement to cash flow, FY2025	-	OK
Beginning cash equals prior year ending cash, FY2023	-	OK
Beginning cash equals prior year ending cash, FY2024	-	OK
Beginning cash equals prior year ending cash, FY2025	-	OK
Retained earnings rolls forward, FY2023	-	OK
Retained earnings rolls forward, FY2024	-	OK
Retained earnings rolls forward, FY2025	-	OK
Total current assets equal their components, FY2023	-	OK
Total current assets equal their components, FY2024	-	OK
Total current assets equal their components, FY2025	-	OK
Total liabilities equal their components, FY2023	-	OK
Total liabilities equal their components, FY2024	-	OK
Total liabilities equal their components, FY2025	-	OK
Margin bridge steps sum to the change in gross profit	-	OK